

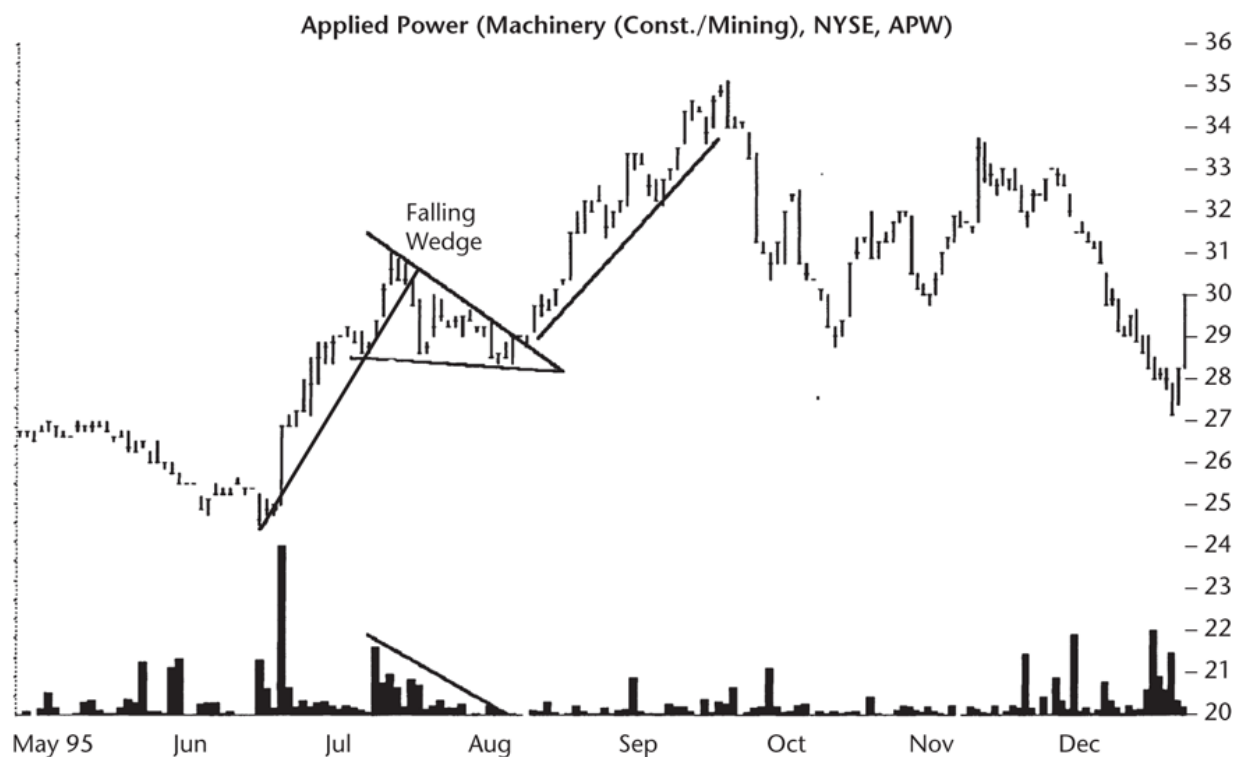


Figure 47.2 A falling wedge marks the corrective phase in this measured move up. Note the receding volume trend of the wedge.

Corrective phase. In this example, a falling wedge composes the corrective phase (which is unusual). The wedge makes trading this measured move easy since it predicts a price rise.

Once price breaks out upward from the wedge, buy into the stock and ride the upward move. If you bought the stock following this procedure, you would make somewhere between 15% and 20%, depending on when you traded the stock. That is not a bad return for a hold time of about 6 weeks. Also note the very distinctive down-sloping volume trend for the falling wedge.

In this example, the corrective phase sees price retrace the first leg move by 40%, within the usual 40% to 60% range (allow retraces outside of this range). Sometimes when the rise leading to the start of the measured move is extensive, the corrective phase becomes long and choppy, resembling a saw-tooth pattern marked by quick rises and sharp declines. In such a case, it might be prudent to wait for price to rise above the high established during the first leg before investing. That way you can avoid the most common measured move failure.